Columns A to D

	A	B	C	D
4	**No.**	**Adjustment**	**Accounts**	**Evidence**
5	A1	Payroll owed for the last days of each year (gross…	Dr 5080, salary accounts, 6060 (and ret…	Payroll registers and WorkCenterC…
6	A2	Revenue recognized in the year of delivery (invoic…	Dr 1020; Cr 4010-4040 (and retained e…	Tests L5 and L6 (Cutoff worksheet)
7	A3	Accruals open longer than the clearing window, re…	Dr 2040; Cr expense accounts (and ret…	Accrual entries, AccrualClearing, A…
8	A4	Interest accrued on the notes since the last paym…	Dr 7030 (and retained earnings); Cr 2080	DebtScheduleLine (Cutoff workshe…
9	**A1-A4**	**Total of the recorded adjustments**		
10	Adjusted net income			
11				
12	R1	Current portion of the notes payable (principal due…	Dr 2110 (long-term); Cr current portion	DebtScheduleLine
13	R2	Credit balance of 1090 Manufacturing Cost Cleari…	Dr 1090; Cr 1046	Trial balance
14				
15	P1	Allowance for credit losses at Exercise 8.1's rates,…	Dr 6170; Cr 1030	ReceivableAging (SQL Results)
16	P2	Returns expected after the year-end on the year's…	Dr 4060, Cr refund liability (revenue); Dr…	ReturnsAfterYearEnd (SQL Results)
17	P3	Damaged and Quality Concern returns restocked…	Dr 5070; Cr 1040	ReturnLines (SalesReturn, SalesR…
18	**P1-P3**	**Passed items, in aggregate**		

The same rows after scrolling right: columns E to K

G10 *fx* =RecNI_2026+AdjTotal_2026

	E	F	G	H	I	J	K
4	**Retained earnings, 1 January 2025**	**Income 2025**	**Income 2026**	**Balance 2025-12-31**	**Balance 2026-12-31**	**Type**	**Decision**
5	(302,568.90)	(63,352.29)	(17,123.63)	(365,921.19)	(383,044.82)	Correction of an error: th…	Record. The liability exce…
6	90,138.93	(70,598.07)	24,940.25	19,540.86	44,481.11	Correction of an error	Record.
7	39,028.43	57,021.15	61,297.21	96,049.58	157,346.79	Correction of an error, if t…	Record once the supplier…
8	(1,838.58)	469.31	(637.99)	(1,369.27)	(2,007.26)	Correction of an error	Record.
9	**(175,240.12)**	**(76,459.90)**	**68,475.84**	**(251,700.02)**	**(183,224.18)**		
10		5,057,894.81	4,572,087.08				
11							
12				89,243.61	147,503.76	Reclassification	Record: all of 2110 is cla…
13				49,102.81	46,730.55	Reclassification	Record: 1090 clears con…
14							
15			553.09	(34,659.34)	(34,106.25)	Change in estimate	Pass; list for the CFO's a…
16			(900.48)	(5,872.65)	(6,773.13)	Change in estimate	Pass; list for the CFO's a…
17			(61,146.00)		(61,146.00)	Estimate (valuation of inv…	Pass; list for the CFO's a…
18			**(61,493.39)**		**(102,025.38)**		

Cutoff | **Adjustments** | Statements

Outlined in coral: the total of A1 to A4 on retained earnings, on each year's income and on the year-end balances. Outlined in teal: the adjusted net income, recorded income plus that total, with G10 selected. A text cell shows its first line, as a row of fixed height does; rows 11 and 14 are blank and row 19, the clearly trivial freight estimate, is below the block drawn.